

Treasure Management

BBA — 8th Semester — 2021 — Answer Sheet

Subject Code: BNK207

Note: This answer sheet is currently a template. Detailed answers will be added progressively. Students are encouraged to refer to textbooks and class notes.

Section A

1. Correspondent banking provides only credit services to banks and financial institutions.

Answer: [Detailed answer will be added soon. Students should write a comprehensive answer covering key concepts, examples, and diagrams where applicable.]

2. A revolving deposit is a non-interest bearing demand deposit.

Answer: [Detailed answer will be added soon. Students should write a comprehensive answer covering key concepts, examples, and diagrams where applicable.]

3. Front office determines the exchange rate and interest rate for money and capital market securities.

Answer: [Detailed answer will be added soon. Students should write a comprehensive answer covering key concepts, examples, and diagrams where applicable.]

4. In call deposit interest rates are generally dependent on the negotiation between the client and the bank.

Answer: [Detailed answer will be added soon. Students should write a comprehensive answer covering key concepts, examples, and diagrams where applicable.]

5. Consumer loan are made to fulfill the personal financial obligations of an individual.

Answer: [Detailed answer will be added soon. Students should write a comprehensive answer covering key concepts, examples, and diagrams where applicable.]

6. Maintaining a diversified loan portfolio helps a bank reduce systematic liquidity risk.

Answer: [Detailed answer will be added soon. Students should write a comprehensive answer covering key concepts, examples, and diagrams where applicable.]

7. Relationship pricing promotes greater customer loyalty.

Answer: [Detailed answer will be added soon. Students should write a comprehensive answer covering key concepts, examples, and diagrams where applicable.]

8. A bank with a positive duration gap would experience an increase in the market value of equity with rising interest rates.

Answer: [Detailed answer will be added soon. Students should write a comprehensive answer covering key concepts, examples, and diagrams where applicable.]

9. In open market operation, available loanable funds increase with respect to increase interest rate.

Answer: [Detailed answer will be added soon. Students should write a comprehensive answer covering key concepts, examples, and diagrams where applicable.]

10. Funding gap is the ratio between variable rate assets and variable rate liabilities.

Answer: [Detailed answer will be added soon. Students should write a comprehensive answer covering key concepts, examples, and diagrams where applicable.]

Section B

Short Answer Questions:[6 × 5 = 30]

11. What do you mean by Treasury Management? Explain the scope of Treasury Management.

Answer: [Detailed answer will be added soon. Students should write a comprehensive answer covering key concepts, examples, and diagrams where applicable.]

12. What are the major sources of short-term and long-term borrowing for the banks? Explain.

Answer: [Detailed answer will be added soon. Students should write a comprehensive answer covering key concepts, examples, and diagrams where applicable.]

13. What is interbank lending? Describe the reserve requirement provision of central bank. Explain.

Answer: [Detailed answer will be added soon. Students should write a comprehensive answer covering key concepts, examples, and diagrams where applicable.]

14. Define loan pricing. Describe the methods of loan pricing strategy of Nepalese commercial bank.

Answer: [Detailed answer will be added soon. Students should write a comprehensive answer covering key concepts, examples, and diagrams where applicable.]

15. Describe the asset liability management and also high light the major roles and responsibility of ALCO.

Answer: [Detailed answer will be added soon. Students should write a comprehensive answer covering key concepts, examples, and diagrams where applicable.]

16. Commercial bank is leading financial institutions in Nepal though it has so many challenges. In this context, explain the opportunities and challenges of treasury management in Nepalese banking sector.

Answer: [Detailed answer will be added soon. Students should write a comprehensive answer covering key concepts, examples, and diagrams where applicable.]

Section C

Comprehensive Answer Questions:[2 × 10 = 20]

17. Define investment portfolio. Discuss about the investment instruments are available for the Nepalese commercial banks in Nepal.

Answer: [Detailed answer will be added soon. Students should write a comprehensive answer covering key concepts, examples, and diagrams where applicable.]

18. Explain the functions, duties, and responsibilities of Foreign Exchange Dealers Association of Nepal (FEDAN).

Answer: [Detailed answer will be added soon. Students should write a comprehensive answer covering key concepts, examples, and diagrams where applicable.]

These answer sheets are prepared for educational purposes. Students are encouraged to verify with official textbooks and course materials.